

Regulatory Responsiveness in India: A Normative and Empirical Framework for Assessment

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1 Introduction

The responsiveness of laws and policies to citizens' preferences and conduct has been the central theme of extensive literature focusing on political science and administrative law (Page & Shapiro, 1983). The question of responsiveness to citizens assumes greater importance in the case of unelected, or indirectly accountable agencies such as independent regulatory agencies. Such agencies are under a greater burden to ensure that they act in a fair and transparent manner to ensure that their policies are accepted by people who did not directly elect them, pre-empt regulatory capture and exhibit accountability to the principal which appointed them (See for example, Coglianese, Kilmartin, & Mendelson, 2009).

With the advent of privatisation in the late 1990s, India created several arms-length regulatory bodies. Table 1 provides a list of the major regulatory agencies in India today.¹ The Reserve Bank of India, which is also the regulator for large swathes of the financial sector in India, has been in existence since 1934. Most other regulatory agencies started being established in the early 1990s and 2000s. However, India lacks a common administrative law framework that governs the conduct of such agencies, including the extent to which they are required to be *responsive* in their conduct vis-a-vis the regulated and the beneficiaries of regulation.

Table 1: Independent regulatory agencies established under federal laws in India

S. No.	Regulator	Sector	Year
1	Reserve Bank of India	Finance	1934
2	Securities and Exchange Board of India	Finance	1992
3	Telecom Regulatory Authority of India	Infrastructure	1997
4	Tariff Authority for Major Ports	Infrastructure	1997
5	Insurance Regulatory and Development Authority	Finance	1999
6	Competition Commission of India	Competition	2002
7	Central Electricity Regulatory Commission	Infrastructure	2003
8	State Electricity Regulatory Commissions	Infrastructure	2003

¹Regulatory agencies that perform all three functions of the state, i.e. regulation-making, monitoring and adjudication have been included. Pure standard or tariff setting bodies have not been included.

9	Pension Fund Regulatory and Development Authority	Finance	2005
10	Food Safety and Standards Authority of India	Health	2006
11	Warehousing Development and Regulatory Authority	Infrastructure	2007
12	Airport Economic Regulatory Authority	Infrastructure	2008
13	Petroleum and Natural Gas Regulatory Board	Infrastructure	2008

Each of these agencies is guided by its own statute which prescribes standards for the manner of their functioning. These standards vary vastly.² In the absence of common standards governing the conduct of regulatory agencies, one sees wide variance in the extent to which these agencies are responsive in the performance of their functions. Moreover, common standards for measuring the performance of regulators are absent in India ³.

What does this paper do?

We seek to measure the extent to which Indian regulators are responsive in the performance of their functions. In doing so, we focus on one function common to all Indian statutory regulators - regulation making.

We analyse the responsiveness of regulators on two axes. First we analyse their responsiveness along a rule-based axis, i.e. we study the extent to which

²See the observations of the Supreme Court of India in COAI v TRAI (yet to be reported), noting that in the absence of the specific statute requiring that a regulator must follow the principles of natural justice while making delegated legislation, the court cannot read such duty into the law, and urging the Parliament to frame a “a legislation along the lines of the U.S. Administrative Procedure Act (with certain well defined exceptions) by which all subordinate legislation is subject to a transparent process by which due consultations with all stakeholders are held, and the rule or regulation making power is exercised after due consideration of all stakeholders’ submissions, together with an explanatory memorandum which broadly takes into account what they have said and the reasons for agreeing or disagreeing with them.”

³The Financial Sector Legislative Reforms Commission, FSLRC, 2013 which contains extensive observations on the performance of the financial sector regulators in India states: “the present system of financial accounting of the regulator is focused primarily on the reporting of expenditures incurred by the regulator under various heads. This, according to the Commission, does not constitute a sufficient test of the fulfilment of regulatory objectives or the assessment of the regulators performance. Therefore, there is need to require regulators to adhere to a more comprehensive system of measuring their performance.”

parliamentary legislation requires them to be responsive. Second, we study responsiveness based on outcomes, i.e. the extent to which the processes followed by statutory regulators in India are responsive while making regulations. In order to do so this paper develops a benchmark for what constitutes *adequately responsive* conduct in the context of the regulation-making functions of a regulator. The baseline is a consolidated index of benchmarks of adequately responsive conduct. We then identify a quantifiable output for each benchmark in the index and assign scores to the quantifiable outputs.

We then conduct a comparative case-study of two statutory regulators, a financial sector regulator ([SEBI](#)) and an infrastructure regulator ([TRAI](#)). We measure the extent to which each has been responsive in the performance of its quasi-legislative functions over a given period of time by using the baseline described in the immediately preceding paragraph. We measure their performance against the quantifiable outputs and assign scores to their performance.

Our analysis reveals three significant findings in relation to the responsiveness of regulatory agencies in India –

1. First, there are significant differences in requirements for responsiveness within the laws establishing independent regulatory agencies.
2. The participatory processes being followed compare generally unfavourable when measured against indices measuring outputs, but there is significant variation within this range.
3. The degree of responsiveness of regulators seems directly proportional to the legal requirement for following participatory processes.

Why is this paper relevant?

The idea of a “responsive” regulatory State was conceived in and much discourse on this subject has been limited to, developed economies (Braithwaite, [2006](#)). Academic literature on regulators in emerging economies has largely focused on political economy and institutional location of independent regulators as technocratic agencies. For instance, Dubash, [2013](#) examines regulatory agencies in the infrastructure sector in the global South in the context of regulatory reform over the last two decades. Braithwaite, [2006](#) deals with strategies to implement “responsive” regulation in States with weak regulatory capacity.

The literature on Indian regulators has largely focused on the impact of regulatory agencies in specific sectors. For instance, Mukherji, [2006](#) and

Mukherji, 2009 have focused on the evolution of the private telecommunications industry and its regulator. Similarly, Dixit, Dubash, Maurer, & Nakhooda, 2007 have focused on developing the indicators for assessing the overall performance of the electricity regulator in India.

This paper departs from the political economy-oriented approach commonly taken towards studying regulators in emerging economies. We develop a framework for empirically analysing the performance of the regulatory function of regulation-making. The mere existence of a public consultation process will not automatically democratise delegated legislation-making. Hence, in this paper, we create a framework for evaluating the qualitative aspects of a consultation process. It is one of the first papers to develop a consolidated index containing indicators of a good legislative consultation process that can be used to quantify the responsiveness of Indian regulators. We also undertake a novel exercise by using these indicators to measure and develop scores measuring the responsiveness of Indian regulators. Our measures provide valuable insights on why one regulator performs better than the other. This has direct policy implications for what can be done to improve the performance of regulatory agencies.

The rest of the paper is organised as follows. Part 2 discusses the concept and features of responsiveness, in the context of law and policy-making. Drawing from this literature, we build a consolidated index of benchmarks of an adequately consultative process and devise quantifiable outputs for each of the benchmarks in the index. Part 3 measures responsiveness of Indian regulators on a rules based axis. Additionally, we measure the responsiveness of specific regulators, SEBI and TRAI on an outcomes-based axis. Part 4 concludes.

2 Concept and features of responsiveness

2.1 Meaning of responsiveness

Responsiveness in the context of regulation and governance has generally been conceived so widely that it has not yielded a specific definition. For instance, Selznick.P has conceived responsiveness as a democratic ideal responding to people’s problems, environments and demands. He describes it as involving *outreach and empowerment*. On the other hand, the seminal work of Ayres and Braithwaite (1992) conceives responsiveness as responsiveness to the behaviour of regulated actors. They advocate a flexible approach of restorative strategy for self-enlightened actors and deterrent actions for “deviant” actors. This paper narrows the approach to responsiveness of a

regulator in discharging its quasi-legislative functions.

Academic literature focusing on this aspect of responsiveness enumerates the features of responsiveness, instead of focusing on a definition. For instance, Stern, 1999 proposes broad measures for evaluating whether regulatory agencies are responsive to stakeholders in their decision making process (Table 2).

Table 2: Summary of best practices for regulatory consultations, Stern (1999)

S. No.	Recommendation
1	Formal consultation exercises
2	Formal or informal hearings
3	Surveys of customer views and priorities
4	Genuine chance of influencing decisions

Dixit et al., 2007 provide a more detailed list of benchmarks for measuring the degree of responsiveness of electricity regulators in India (Table 3). The benchmarks suggested by Dixit et al. include issues of internal capacity and accountability in addition to those of consumer-facing processes. For example, their benchmarks focus on whether there is clear communication to stakeholders on how their inputs will be used, and whether there is a clearly designated individual or department within the regulatory agency for processing such inputs.

Table 3: Summary of benchmarks developed by Dixit et. al. (2007)

S. No.	Benchmarks
1	Information about the public consultation process is circulated prior to the initiation of the consultation itself.
2	Documentation of consultation process
3	Broad distribution of information about process
4	Targeted distribution of information about process
5	Systematic efforts to consult more vulnerable socio-economic groups
6	More than two mechanisms of public participation to get public input into planning
7	Clear time frame for decisions
8	Clear time frame for providing inputs
9	Accountability for inputs

10	All proceedings before the regulatory body are open to the public, and the public has the right to participate.
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Coglianese et al., 2009 summarise the recommendations of the Task Force on Transparency and Public Participation (2008) established in the United States on the issues of transparency, public participation and strategic management. Given the legislative mandate of public consultation contained in the “Federal Administrative Procedure Act,” Coglianese et al., 2009 assumes the existence of a consultation process. The measures listed by it, therefore, largely deal with improving the existing process and ensuring its robustness in Table 4.

Table 4: Summary of processes recommended by Coglianese (2009)

S. No.	Recommendation
1	Involvement of the public in early stages of regulation-making (such as by announcing a periodic regulatory agenda in advance)
2	Adoption of pro-active processes to improve public access to agency information i.e. build and publish datasets of information
3	Ensuring that public can monitor information disclosure
4	Encouraging transparent communications with external actors i.e. Informal mechanisms for constant feedback
5	Usage of management based strategies to promote transparency and public participation i.e. Strategic management/ organisation policy for building effective participation mechanisms (policy manual, processes for evaluating performance on transparency and public participation)
6	Creation of regulatory dockets at the moment they begin the development of any new rulemaking
7	Effective management of the release of information to ensure public access e.g. e-rulemaking
8	Promotion of multidirectional flow of information in the comment process (such as providing two rounds of seeking public comments and public hearings.)

Oxford Pro Bono Publico, 2011 surveyed the practices prevailing in the European Union and five countries comprising South Africa, Canada, Switzerland, United Kingdom and the United States. The survey concluded with a recommendation to the effect that States must amend their constitutions to provide for effective and meaningful public participation in all forms of lawmaking or frame a law to that end.

Finally, OECD, 2014 has issued best practices for regulatory governance which includes a set of broad indicative benchmarks for a good consultative process (Table 5.) Again, since these are best practices, they are of a broader nature and not as granular as those listed by Coglianesi et al., 2009.

Table 5: Summary of best practices for regulatory consultations, OECD (2014)

S. No.	Recommendation
1	Any proposed measures have well designed policy objectives and are written in a clear and precise manner so that stakeholders are able to provide comprehensive comments; impact assessments are an important part of the consultation process.
2	Outreach during consultation process.
3	Clear, enforceable, measureable, government-wide policy on active stakeholder engagement in developing and reviewing regulations.
4	Sufficient time is allocated for the consultation process, particularly for consultations on major reforms.
5	Any proposed new regulations are consistent and coherent with the existing regulatory framework.
6	Stakeholders views are actually used to inform decision-making, and not just to justify a decision already taken.

2.2 Building a quantifiable index of responsiveness in regulation making

We have aggregated the features of responsiveness contained across various academic literature and best practices as listed in the preceding paragraphs, and prepared a consolidated index of eighteen benchmarks of an *adequate* consultative process. For each benchmark, we have assigned a concrete output, which we can use to quantify performance of an existing regulator and then assign scores.

This index is provided in Table 6. The benchmarks in the index have been broadly classified under two broad heads, in view of the fact that running a good consultation process warrants internal capacity building:

- Capacity building within the regulator to conduct a consultation exercise; and
- Interface between the regulator and the public during the consultation exercise.

Table 6: Consolidated list of benchmarks/ measures

S. No.	Benchmark/ Measure/ Process	Quantifiable output
Capacity building within the regulator		
1	Early engagement with stakeholders through information dissemination	Does the regulator periodically publish an annual <i>regulatory agenda</i> in advance?
2	Regular publication of relevant information and datasets	Whether the regulator publishes datasets on the pre and post regulation effect on a market?
3	Systems for public monitoring of information disclosure practices	Whether the regulator has an internal whistle blowing mechanism for undisclosed information?
4	Mechanisms for continuous feedback (formal or informal)	Whether the regulator allows for petitioning for changes to or enactment of new regulations?
5	Internal capacity and systems (management tools and processes) for public participation	Whether the regulator has a process manual for conducting a public consultation exercise?
6	Dissemination of information regarding the participatory process	Is the information on the participatory process displayed on the website of the regulator?
7	Dissemination of information regarding the participatory process among targeted groups	Whether the regulator has awareness programmes amongst vulnerable groups and minorities?
8	Build review mechanisms for periodically assessing the quality of the public consultation process	Whether the regulator has a system for conducting periodic surveys and external audits of its consultation processes?
Conduct of consultation exercise		

9	Publication of high quality explanatory documents and data that allow stakeholders to provide informed comments.	Does the regulator publish explanatory documents such as consultation papers/ draft regulations?
10	Effective outreach and consultation with targeted groups as part of the consultative process	Does the regulator proactively communicate with groups most likely to be affected?
11	Multidirectional flow of information between the regulator and the public and the public inter-se	Does the regulator publish comments recieved before issuing the final regulation? Does the regulator provide time for counter-comments? Does the regulator provide a response to the comments? Does the regulator provide more than one method of receiving feedback?
12	Dissemination of information about time-frame within which decisions will be made based on consultations	Does the regulator publish a statement of when the decisions will be made based on the consultative process?
13	Adequate time for submission of comments	Does the regulator give adequate time for submission of comments and counter-comments?
14	Internal processes for identifying who is accountable for running the process for the regulatory agency.	Does the regulator publish the name of the individual-in-charge of the consultation process?
15	Ensuring consistency with primary legal framework	Does the regulator publish the source of the legal power to issue the proposed regulations?

3 Measuring responsiveness of Indian regulators

3.1 Rule-based measures

Steps taken during the late 1980s to deregulate India’s command and control structure did not fundamentally alter the administrative structure of the Indian state (Kochanek, 1986). This changed gradually over the 1990s, when a number of new regulatory agencies were established under specific parliamentary legislation. However, there is considerable difference in the internal processes and administrative law applicable to each regulatory agency. Work on regulatory dispersion explains why these inconsistencies arose, and continue to exist in the absence of an overall administrative law framework. As Dubash (2013, p. 103), notes, at least in India’s electricity sector,

“The process through which electricity regulatory agencies entered India was remarkably devoid of reflection on whether and how these bodies would be able to achieve their core design objective of depoliticizing decision-making in the sector.”

Evidence of this can also be seen in the degree of difference in the primary legislation.

Table 7: Legal requirement for independent regulatory agencies to be responsive

S. No.	Regulator	Legal requirement for consultation
1	Reserve Bank of India	No*
2	Securities and Exchange Board of India	No*
3	Telecom Regulatory Authority of India	Yes
4	Tariff Authority for Major Ports	No
5	Insurance Regulatory and Development Authority	No*
6	Competition Commission of India	No
7	Central Electricity Regulatory Commission	Yes
8	State Electricity Regulatory Commissions	Yes
9	Pension Fund Regulatory and Development Authority	No*
10	Food Safety and Standards Authority of India	No

11	Warehousing Development and Regulatory Authority	No
12	Airport Economic Regulatory Authority	Yes
13	Petroleum and Natural Gas Regulatory Board	No

* These regulators voluntarily agreed to comply with a Handbook on Governance Enhancing Measures published by the Ministry of Finance.

Table 7 highlights three important findings:

1. Not all laws governing regulators mandates them to follow a consultation process in exercise of their quasi-legislative function.
2. While none of the laws governing financial sector regulators mandate them to be 'responsive', more than half the laws governing infrastructure regulators mandate 'responsiveness' in their functioning.
3. While parliamentary laws mandate AERA and TRAI to follow consultative processes, the standard imposed by parliament in both cases is different, and it is unclear what consultative processes are sufficient for meeting the obligation established in the primary law.⁴

Given the lack of responsiveness mandates in the primary law and the wide variance in the mandate amongst primary laws that have it, we find that overall, the Indian legal framework scores low on rules-based measures of responsiveness.

3.2 Outcome-based measures: Case-study of SEBI and TRAI

To understand the extent of responsiveness of Indian regulators while performing their quasi-legislative functions, we analyse the performance of two Indian regulators - SEBI and TRAI - for a limited duration. This enabled us to understand the responsiveness of SEBI and TRAI individually and compare their relative responsiveness as per the benchmarks devised in section 2.

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Data for measuring responsiveness

In the absence of an administrative law in India governing regulators, Indian regulators, including **TRAI** and **SEBI** issue various instruments, all of which have a binding effect on regulators. **SEBI** exercises its quasi-legislative powers through different kinds of instruments such as regulations, circulars and notifications. (See Pattanaik and Sharma, 2015). While regulations made by **SEBI** are required to be placed before the Parliament, circulars are not so required.⁶ However, all of these instruments are delegated legislation in the sense that they are issued *in rem*. **TRAI** similarly exercises its quasi-legislative powers through different kinds of instruments such as regulations, orders and directions. While orders are used for setting industry tariffs, regulations and directions are used for non-tariff related matters. Regulations made by **TRAI** are required to be placed before the Parliament. However, orders and directions are not so required. Regulations and orders are instruments *in rem*. On the other hand, directions may be issued to specific service providers or a class of them.⁷

3.2.1 How many legislative instruments underwent legislative scrutiny?

We studied the different kinds of legislative instruments issued by both **SEBI** and **TRAI** for the period beginning January 2014 and ending April 2016. Table 8 contains the details of the kinds of instruments issued by **SEBI** and **TRAI** during this period.

Table 8: Instruments issued by **SEBI** and **TRAI** (1st January 2014-30th April 2016)

Instrument	SEBI	TRAI
Regulations	51	22
Circulars	122	0
Orders ⁸	0	12

⁶The “Securities and Exchange Board of India Act, 1992” requires that all regulations made by **SEBI** must be laid before both the House of Parliament. The “Securities and Exchange Board of India Act, 1992” additionally empowers **SEBI** to *to protect the interests of investors in securities and to promote the development of, and to regulate the securities market, by such measures as it thinks fit*. This wide power enables **SEBI** to perform some of its quasi-legislative functions through instruments such as circulars.

⁷The “Telecom Regulatory Authority of India Act, 1997” requires that all regulations made by **TRAI** must be laid before both the House of Parliament. The “Telecom Regulatory Authority of India Act, 1997” additionally empowers **TRAI** to issue orders for tariff-setting and directions for the performance of its functions.

⁸Orders refers to *orders in rem*.

Directions	0	24
Notifications	2	0
Total	175	58

We find that (a) both regulators use multiple instruments for regulating their respective markets, (b) both the regulators issue a larger number of legislative instruments which do not undergo legislative scrutiny. In percentage terms, while about twenty-nine (29) percent of the total number of legislative instruments issued by **SEBI** during the study interval underwent Parliamentary scrutiny, about thirty-seven (37) percent of the total legislative instruments issued by **TRAI** during the study interval underwent legislative scrutiny. Therefore, while **TRAI** fares relatively better than **SEBI** on issuing instruments which undergo legislative scrutiny, less than half of the legislative instruments issued by both regulators undergo legislative scrutiny.

3.2.2 How many legislative instruments were preceded by a consultation process?

We then studied whether each of the legislative instruments issued by **SEBI** and **TRAI** underwent a formal public consultation process of some form before their issuance. We find that **SEBI** held a formal public consultation process for about 10% of the legislative instruments issued by it. **TRAI** held a formal public consultation process for about 47% of the total number of legislative instruments issued by it. Table 9 contains the details of our findings.

Table 9: Public consultation for delegated legislation issued by **SEBI** and **TRAI** (1st January 2014-30th April 2016)

Item	SEBI	TRAI
No. of instruments issued	175	58
No. of instruments preceded by public consultation	18	27
Percentage	10.28%	46.55%

3.2.3 Descriptive analysis of the consultative processes followed by SEBI and TRAI

To assess the qualitative aspects of the process and identify whether the process led to the outcomes identified in the responsiveness index contained in Table 2.2, we studied the qualitative aspects of the consultation processes followed by SEBI and TRAI.

SEBI's process involves publishing a discussion paper with a fixed time line for submission of public comments. SEBI does not engage in information dissemination exercises when the discussion paper is published or hold oral hearings for public comments. The consultation papers contain the objective of the proposed regulation and the problem being addressed. However, they generally present only one solution and do not contain a cost-benefit analyses of multiple possible solutions. The consultation paper often contains an objective worded in general terms such as "in the interest of investors" and to "promote market development". (See Pattanaik and Sharma, 2015).

During the consultation process, there is no multi-directional flow of information between the public and SEBI or amongst the public *inter se*. The comments received from the public in response to the consultation paper issued by SEBI are not published. When the final regulation is issued, it is generally accompanied with a statement that SEBI has considered the representations received. On an average, it gives about twenty (20) days for the public to comment on the consultation paper issued by it. (See Table 10) There is no information in public domain on the kind of representations that were made, the ones which are accepted or the reasons for rejecting those which are not. Zaveri (2016) notes that the discussion paper was identical to the text of the final regulations issued on at least two occasions. Pattanaik and Sharma (2015) have a similar finding on the outcome of the consultation exercise. The time-lag between the date on which the consultation exercise is completed and the date of issuance of the instrument ranges from 55 days to 645 days. The average time-lag is a staggering 250 days. (See Table 11.)

There is no data in public domain on the capacity building, if any, done by SEBI internally to strengthen the consultation exercise or place quality controls on the content of the discussion papers.

While TRAI follows a more detailed process of consultations for regulations and orders compared to SEBI, it does not generally conduct a formal consultation process before issuing directions.⁹

Often, though not always, the process begins with a high-level discussion paper which highlights the broad issues for consideration. This is then

⁹We came across a draft direction which was put up for consultation on January 20, 2016. As of the date of this writing, a direction has not been issued pursuant to the draft.

followed up with a discussion paper which dwells into the details of the proposed regulatory approach. While there is no uniformity in the quality of the consultation paper, the paper is generally structured to include the objective of the proposed intervention, industry practice, developments leading up to the consultation paper and the issues for consultation. Sometimes, the consultation paper also includes data such as global practices in respect of the issues under consideration. While some discussion papers have open-ended questions, others are more exploratory and reflect the regulator’s proposed regulatory approach. The discussion papers do not propose multiple options with a cost benefit analysis of each.

There is multi-directional flow of information during the consultation process. About twenty one (21) days are given for the first round of comments. In several cases, **TRAI** has extended the duration for responding to the consultation paper. The comments are put up in public domain as they start flowing in. Approximately seven (7) days are then reserved for allowing the public to offer counter-comments. (See Table 10). The counter-comments are also published. The time-lag between the date of completion of the consultation process and the issuance of the legislative instrument ranges from fourteen to two hundred and forty six days (14 to 246 days). The average time-lag is eighty two (82) days. (See Table 11).

The final regulation or order is accompanied with an explanatory memorandum explaining the public consultation process followed prior to the issuance of the instrument. However, the explanatory memorandum does not give specific reasons for acceptance or rejection of some comments over the others.

There is no data in public domain on the capacity building, if any, done by **TRAI** internally to strengthen the consultation exercise or place quality controls on the content of the discussion papers.

Table 10: Time given for responding to consultation papers (in days)

Regulator	Minimum	Maximum	Median	Average
SEBI	7	35	21	20
TRAI	15	44	29	27.41

Table 11: Time-lag between close of consultation and issuance of instrument (in days)

Regulator	Minimum	Maximum	Median	Average
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SEBI	55	645	160	250
TRAI	14	246	58	82.26

3.3 Measuring outcomes, assigning scores

On the basis of the index described in Part 2.2, we have assigned scores to SEBI and TRAI, depending on whether they have achieved the outputs indicated for each benchmark. Since information relating to the internal capacity building for each of these two regulators is not available in public domain, we have not included scores on the benchmarks relating to internal capacity building by these regulators. Where no data on any other benchmark relating to either regulator is available in public domain, we have assigned a score of 0 to both regulators.

For each output that is a 'yes', we have assigned a score of 1. Where an output has been achieved partially achieved, we have assigned a proportionate score in percentage terms out of a total score of 1. For example, if 46.55% of the legislative instruments issued by TRAI were preceded by public consultation, then on that output, we have assigned a score of 0.47 (after rounding off to the closest whole number) to TRAI. The outputs and scores for SEBI and TRAI are reflected in Table 12.

Table 12: Outputs and scores for responsiveness of **SEBI** and **TRAI** (1st January 2014-30th April 2016)

Sr.No.	Output	SEBI	SEBI's score	TRAI	TRAI's score
1.	Does the agency publish explanatory documents? ¹⁰	10% of legislative instruments were preceded by explanatory documents.	0.10	47% of legislative instruments were preceded by explanatory documents.	0.47
2.	Does the agency pro-actively communicate with groups most likely to be affected?	No data (No).	0	No data (No).	0
3.	Does the agency publish comments received before issuing the final regulation?	No	0	Yes	1
4.	Does the agency provide time for counter-comments?	No	0	Yes	1
5.	Does the agency provide a response to the comments received?	No	0	No	0
6.	Does the agency provide more than one method of receiving feedback?	No	0	Yes	1
7.	Does the agency publish a statement of when the decisions will be made based on the consultative process?	No	0	No	0

¹⁰Explanatory documents refers to discussion papers and/ or draft regulations.

8.	Does the agency publish the name of the individual in charge of the consultative process?	No	0	No	0
9.	Does the agency publish the source of the legal power to issue the proposed regulation?	Yes	1	Yes	1
10.	Does the agency give adequate time for responding to the draft proposed by it? ¹¹	SEBI allows an average of 20 days for responding.	0	TRAI allows an average of 27.41 days for responding.	0
Total -		1.10	-	4.47	

¹¹The pre-legislative consultative policy issued by a Committee of Secretaries of the Central Government requires a minimum of 30 days for responding to a draft published by the regulator. Best practice documents issued by OECD also warrant a time of not less than 30 days. Hence, we used 30 days as a benchmark of *adequate* time.

The second column of the table refers to the concrete output. The third and fifth columns indicate whether the outputs have been achieved and where partially achieved, the extent to which they have been achieved, for **SEBI** and **TRAI** respectively. The fourth and sixth columns assign scores, depending on the entries in the third and fifth columns.

We find that on a score of 10, while **TRAI** achieves close to half the outputs, **SEBI** lags behind dismally with a score of 1.10.

The legislative frameworks governing the quasi-legislative functions of both **SEBI** and **TRAI** are similar in that they recognise the power to issue multiple categories of legislative instruments and mandate different standards of accountability for each such instrument. However, there is vast variation between the degree of responsiveness amongst both regulators in exercising their quasi-legislative functions.

4 Conclusion

By measuring the 'responsiveness' of two Indian regulators on a rules and outcomes based axis, this paper makes two specific contributions to the discourse on best practices of regulatory governance issues in emerging economies, and specifically in India.

First, it provides an empirical framework for assessing responsiveness of regulatory agencies. This framework can be scaled for assessing the responsiveness of regulatory agencies in India and elsewhere. This can feed into an initiative to measure the performance of regulatory agencies by the regulator itself, external audit agencies such as the Comptroller and Auditor General of India and the Government Audit Office in the United Kingdom, the government as the principal and the citizens themselves. Performance evaluation exercises at regular intervals on the basis of such frameworks will, in turn, incentivise regulators to publish data which the external agencies can rely on when using such assessment frameworks. Where Parliamentary oversight mechanisms are not strong, such evaluations will act as feedback loops and information to them.

Second, the paper demonstrates variance in the responsiveness of regulatory agencies in India, in the absence of uniform standards governing the conduct of Indian regulators. There are two factors which contribute to this variance: the absence or weakness of the laws governing the conduct of regulators, and the weakness of oversight over regulatory agencies. Again, the framework developed in this paper can help plug the second contributing factor.

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